

Fraud Detection and Prevention Policy

RiskGuard Demo Knowledge Base · Document ID: FRAUD-POL-01 · Fictional policy for demonstration purposes only

1. Purpose and Scope

This policy defines how RiskGuard classifies and responds to suspected payment fraud across all transaction channels. It applies to every transaction processed through the platform, regardless of payment method, merchant category, or customer tier.

The policy is reviewed quarterly by the Risk Operations team and updated whenever new fraud typologies are observed in production data.

2. Fraud Risk Tiers

Transactions are assigned to one of three fraud risk tiers based on a composite fraud score between 0 and 100. A score of 0-34 is classified as Low fraud risk, 35-69 is classified as Medium fraud risk, and 70-100 is classified as High fraud risk.

Any single transaction exceeding 100,000 INR in value is automatically elevated by one fraud tier regardless of its computed score, because high-value transfers carry disproportionate loss exposure.

3. High-Velocity Transaction Rule

If a single user account initiates more than 5 transactions within a rolling 10-minute window, the account is flagged for velocity abuse and every transaction in that window is treated as Medium fraud risk at minimum, even if each individual transaction appears benign.

Velocity flags reset automatically after 60 minutes of inactivity on the account, but repeated velocity flags within a 24-hour period escalate the account to High fraud risk for the remainder of that day.

4. Time-of-Day Risk Adjustment

Transactions initiated between 1:00 AM and 5:00 AM local time to the cardholder are treated as having elevated fraud risk, because historical fraud data shows this window accounts for a disproportionate share of confirmed fraud cases relative to transaction volume.

This time-of-day adjustment adds up to 15 points to the fraud score and is not applied in isolation — it must be combined with at least one other suspicious signal before it can push a transaction into the High fraud risk tier on its own.

5. Mandatory Review Triggers

Regardless of the computed fraud score, a transaction **MUST** be routed to manual review if any of the following are true: the shipping or billing address was changed within the last 24 hours, the transaction amount is more than 5 times the account's historical average transaction amount, or the transaction uses a payment instrument that was added to the account fewer than 2 hours ago.

6. Automatic Block Conditions

A transaction **MUST** be automatically blocked, without manual review, if it originates from a device or IP address that appears on the platform's active fraud denylist, or if the same card number has already triggered 3 or more blocked transactions in the preceding 7 days.